

Appetite Guidelines Reference

What Are Appetite Guidelines?

Appetite guidelines are a set of rules or criteria that describe the kinds of insurance submissions a carrier is interested in underwriting.

Examples: - Only accept Commercial Auto policies in Texas - Target submissions with premium > \$100,000 - Avoid policies from high-risk zip codes - Prefer new business over renewals

Why They Matter for the Challenge

These guidelines represent how real-world underwriters make decisions every day. Your agent should: 1. Use these rules to qualify submissions 2. Explain to users (underwriters) why a submission is prioritized 3. Help underwriters take faster, more confident action

Guidelines equal underwriting strategy. Your agent should make that strategy clear and actionable.

How to Use the Guidelines, Step by Step

1. **Read the appetite document.** It's a simple set of rules, e.g. accept if `product_type = "Commercial Property"` and `state = "NY"` ; reject if `premium < $50,000` ; prioritize if `submission_date` is within the last 7 days.
2. **Translate the rules into logic.** If a submission matches a rule, mark it "in appetite." If not, mark it "out of appetite" or lower priority. Simple conditional logic plus an LLM call for the explanation is enough; heavy ML is not required.
3. **Apply the logic to the sample data** pulled from the API.
4. **Surface the results in your UI.** Show which submissions are in appetite, a short explanation of why, and optionally a score or visual signal (color, icon, badge).

2025 Sample: Commercial Property Underwriting Guidelines

Factor	Acceptable	Target	Not Acceptable
Submission type	New business		Renewal business
Line of business	Property		All other lines
Primary risk state	OH, PA, MD, CO, CA, FL, NC, SC, GA, VA, UT	OH, PA, MD, CO, CA, FL	All other states
TIV (Total Insured Value)	Up to \$150M	\$50M-\$100M	Over \$150M
Total premium	\$50K-\$175K	\$75K-\$100K	Under \$50K or over \$175K
Building age	Newer than 1990	Newer than 2010	Older than 1990
Construction type	>50% JM, non-combustible/steel, or masonry non-combustible		>50% other types
Loss value	Under \$100,000		Over \$100,000

Required data points behind these rules: account name, primary risk state, line of business, effective/expiration dates, TIV, construction type, building year, premium, and five-year loss history.